

year's folder for at least at least three years; if you're audited, the IRS can request up to three years' worth of your tax records. (If you've underreported your income by 25% or more, the IRS can ask for returns from six years back. And if you've committed fraud, there's no time limit.) After three years, throw out your supporting paperwork, but hold on to a copy of the return (paper or electronic), your attached W-2s and 1099s, and any other IRS forms you filed. If you've sent money to the IRS, keep the canceled check (or a copy of it) or the bank statement showing a debit card payment. You want to be able to prove that payment down the line if there's ever a mixup and the IRS thinks you didn't file for a particular year.

- **Business-Related Expenses (Unreimbursed).** Save appropriate credit card receipts, entertainment and meal receipts, and receipts for tolls, taxis, parking, gas, car maintenance, tips, union dues, and subscriptions. (For more on what to save and how to save it, see Chapter 2.) If you plan to deduct the cost of a computer, BlackBerry, or cell phone, in addition to your receipts keep records that detail when you use the equipment for work and when you use it for leisure activity. If you're self-employed, save all receipts from business-related travel. Also, keep a detailed spending diary when you go on business trips, and file it in this folder.
- **Charitable Contributions.** Keep lists of property you've donated and receipts from organizations you contribute to. If you contribute money, save receipts from the charity as well and the canceled checks or the relevant pages from your bank or credit card statement.
- **Child Care/Dependent Care Expenses.** Hold on to documents indicating the dates and amounts of various fees you paid to an individual or a center to take care of your child or other dependent so you could work or look for work. (The money you pay to a sitter to watch your child so you can go to a movie is not deductible.) Also, jot down and save a list of the cost of meals and lodging expenses paid to a